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California Lawmakers Extend Eviction Protections and Launch Program To Help With Unpaid Rent

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California lawmakers approved legislation Thursday to extend state eviction protections through June 30 and create a rent subsidy program that will use federal relief dollars to pay off a portion of tenants' unpaid back rent.

The new legislation is part of California's 2021-2022 budget plan, and comes just days before the state's previous eviction protections were set to expire on January 31.

State and local leaders say it's a necessary move to help tenants and landlords struggling financially amid the coronavirus pandemic.

"The idea here is to stabilize folks, to prevent a tidal wave of evictions that would really be unacceptable," California Assemblymember Jesse Gabriel, who helped craft the bill, told KPCC's AirTalk.

"This would obviously have terrible consequences for homelessness and could be an issue of life or death during the pandemic."

For tenants' rights advocates, the legislation is just another example of state leaders prioritizing landlords' profits over working people's lives. They've been calling for full-on rent cancellation throughout the pandemic.

"Certainly, it's important that whatever laws and protections we have are expanded," said Tracy Jeane Rosenthal, an organizer with the Los Angeles Tenants Union.

"However, they are nowhere near the protections tenants deserve. Tenants deserved a real eviction moratorium that prevented both filing and enforcement. And instead, they got swiss cheese, false promises and red tape.

It's difficult to say just how many Californians are behind on rent and at-risk for eviction when protections end. Last year, researchers at UC Berkeley estimated 700,000 households across the state. The Federal Reserve Bank of Philadelphia estimated it was 240,000 households with $1.7 billion in unpaid rent. Last week, California's Legislative Analyst's Office estimated it was 90,000 households and just $400 million.

Housing advocacy groups say the number is much higher. Meanwhile, California's courts are expecting to see about 240,000 eviction lawsuits from landlords this year, double that of a typical year.

EXTENDING THE MORATORIUM

The legislation passed Thursday extends the eviction moratorium by another five months. It maintains existing requirements that tenants cannot be evicted as long as they pay 25% of their rent — either in monthly installments or in a lump sum by the end of June.

State leaders had recently introduced a bill that would have extended these protections through the rest of this year, but landlord groups lobbied for a shorter timeline.

Renters and landlords in Southern California have found themselves subject to a confusing patchwork of local, state

and federal eviction protections over the past year.

The new state law will supersede local moratoriums like L.A. County's — which is also set to expire at the end of January.

RENT SUBSIDY PROGRAM

The state's new rent subsidy program will pay landlords 80% of the total amount of unpaid rent debt incurred between April of last year and March of this year — as long as those landlords agree to forgive the other 20% and not pursue evictions.

If landlords don't want to participate, the state subsidy program will still pay them 25% of the back rent, and tenants will remain on the hook for past-due rent.

Landlords are required to notify tenants who owe back rent about the availability of the subsidy program, which relies on California's $2.6 billion in federal rent relief aid.

Renters and landlords will be allowed to apply for these federal dollars beginning in March.

To be eligible for the rental assistance, the unpaid rent must be owed by a tenant who earned less than 80% of the area median income in 2020: $73,000 in L.A. County.

Applications for the Rental Assistance Program will be coordinated by the Business, Consumer Services and Housing Agency (BCSH).

Anyone who's thinking of applying should keep an eye on its website. On it, it says that the program "will be stood up to begin accepting applications no later than March 15, 2021."

GETTING PROPERTY OWNERS PAID

Tenants' rights groups say the new subsidy system will give landlords too much power and leave tenants at their mercy.

"This law basically turns tenants into pass-throughs to give landlords our tax dollars, and more than that, it lets landlords opt out," said LATU organizer Tracey Jeane Rosenthal. "What is framed as a tenant relief bill is actually a landlord relief bill."

The new law is viewed more favorably by landlord groups, who see the subsidy program as a necessary first step towards getting property owners paid.

"While the bill doesn't contain everything we asked for, the important provision here is the payment of dollars for rent that is owed," said Debra Carlton, executive vice president for state public affairs at the California Apartment Association.

"Without this money, many landlords are at risk of losing their rental units."

Correction: A previous version of this story incorrectly stated that the Federal Reserve Bank of Philadelphia had revised down earlier estimates on the number of Californians at risk for eviction. It has not revised its original estimates. Newer estimates by the California's Legislative Analyst's Office are not the estimates of the Philadelphia Fed. LAist regrets the error.

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